

Verdict: Selective risk-on, not automatic offense. Breadth and credit support review work, but manual-dependency trust, mixed market dates, Technology concentration, and owner-gated portfolio authority block any applied mutation.

TRUST review_required manual_dependency	PRESENTATION False Internal review candidate only	CAPITAL ACTION False No trade / sizing / allocation authority	SECTOR BOARD degraded review_only
Visible trust limits: Market-state sources are not aligned on one trading day: 2y, spx; sector_correlation_check status=degraded; band proposals status=needs_review; band context is review debt only.			
IMPROVING LEADERSHIP Materials, Technology Leadership does not equal approval.	UNDEREXPOSED SECTORS 7 Communication Services, Consumer Discretionary, Consumer Staples, Health Care	PENDING PROMOTION REVIEW CAT, GS, LLY, NVDA Approved/promoted separate: ETN, JPM	

PORTFOLIO IMPLICATIONS

- Do not treat improving Technology leadership as a green light to add: direct Technology is already at the stated cap and AI-power correlation remains elevated.
- Underexposure is broad; the useful work is quality candidate review, not forced sector filling.
- Pending promotion-review candidates are CAT, GS, LLY, NVDA; already approved/promoted names are shown separately as ETN, JPM.
- Strict deployment surface currently shows deployable-now names: ETN; almost-deployable names: GOOG, GS, JPM, MSFT, NVDA.

FED TARGET 3.5%–3.75% Next FOMC 2026-06-17	10Y TREASURY 4.39% As of 2026-05-11	VIX 18.23 As of 2026-05-11
HY OAS 2.79 Credit: benign	BREADTH 8/11 broad / recovering	ENERGY / DOLLAR WTI 98.36 · DXY 98.001 Brent 104.27
Signal	Current read	Positioning meaning
Policy / rates	Target 3.5%–3.75%; 2s10s 47.0 bps	Restrictive-policy pause; no broad valuation tailwind assumed.
Credit	IG OAS 0.79; HY OAS 2.79; regime benign	Benign credit supports review work but does not grant deployment authority.
Breadth	8/11 sectors above 50DMA; regime recovering	Participation is constructive enough for candidate review; leadership remains selective.
Inflation / energy	Brent 104.27; WTI 98.36	Energy/inflation pressure remains an invalidation path for risk-on posture.

Deployment implication: Review quality names and sector gaps, but wait for clean entry, catalyst, and owner-approved mutation gates before any portfolio action.

Leadership and underexposure

Status question: Where is sector leadership improving, where are we underexposed, and which names deserve promotion review?

Concentration: Direct Technology is at cap at 25% vs 25% cap; AI-power correlated sleeve is 32% including ETN.

Sector	Current read	Exposure / gap	Review action
Communication Services XLC	deteriorating 1d RS -0.7193; 5d RS -2.7334	0.0% · unrepresented underexposed Candidates: —	Underexposed/unrepresented: monitor for quality candidates and require explicit promotion review before any lane change.
Consumer Discretionary XLY	deteriorating 1d RS -1.2548; 5d RS -1.9061	0.0% · unrepresented underexposed Candidates: BKNG	Underexposed/unrepresented: monitor for quality candidates and require explicit promotion review before any lane change.
Consumer Staples XLP	deteriorating 1d RS -0.8907; 5d RS -2.8638	0.0% · unrepresented underexposed Candidates: —	Underexposed/unrepresented: monitor for quality candidates and require explicit promotion review before any lane change.
Energy XLE	deteriorating 1d RS 1.6225; 5d RS -7.4284	10.0% · within_limit Candidates: CVX, LNG, XOM	Maintain review-only monitoring; no canonical mutation or capital action.
Financials XLF	deteriorating 1d RS 0.1496; 5d RS -3.2439	21.0% · near_cap Candidates: GS, JPM	Review concentration/correlation warning before any owner-gated promotion review; no sizing or deployment authority.
Health Care XLV	deteriorating 1d RS 0.8897; 5d RS -2.7082	0.0% · unrepresented underexposed Candidates: LLY	Underexposed/unrepresented: monitor for quality candidates and require explicit promotion review before any lane change.
Industrials XLI	deteriorating 1d RS 0.3795; 5d RS -1.0493	7.0% · within_limit Candidates: CAT, ETN, VRT	Existing exposure with queued candidates: keep promotion review owner-gated and check risk/sizing before any change.
Materials XLB	improving 1d RS 1.1561; 5d RS 0.3017	0.0% · unrepresented underexposed Candidates: —	Underexposed/unrepresented: monitor for quality candidates and require explicit promotion review before any lane change.
Real Estate XLRE	deteriorating 1d RS 0.5541; 5d RS -1.4255	0.0% · unrepresented underexposed Candidates: —	Underexposed/unrepresented: monitor for quality candidates and require explicit promotion review before any lane change.
Technology XLK	improving_leadership 1d RS 0.4306; 5d RS 6.0511	25.0% · at_cap Candidates: AMD, AMZN, GOOG, MSFT, NVDA, PLTR, SMC	Review concentration/correlation warning before any owner-gated promotion review; no sizing or deployment authority.
Utilities XLU	deteriorating 1d RS 0.9076; 5d RS -5.4182	0.0% · unrepresented underexposed Candidates: —	Underexposed/unrepresented: monitor for quality candidates and require explicit promotion review before any lane change.

Hard boundary: Every row below is a review-only positioning frame. It is not applied portfolio state and does not authorize target weights, sleeves, promotions, sizing, cash, or trades.

Sector	Proposed tilt	Rationale	Owner-gated blocker
Communication Services XLC	Research queue / candidate search proposal_for_review	Underexposed sector; do not force exposure without quality candidate and entry.	Owner approval, risk/sizing review, and entry/invalidation proof required before any mutation.
Consumer Discretionary XLY	Research queue / candidate search proposal_for_review	Underexposed sector; do not force exposure without quality candidate and entry.	Owner approval, risk/sizing review, and entry/invalidation proof required before any mutation.
Consumer Staples XLP	Research queue / candidate search proposal_for_review	Underexposed sector; do not force exposure without quality candidate and entry.	Owner approval, risk/sizing review, and entry/invalidation proof required before any mutation.
Energy XLE	Maintain monitoring proposal_for_review	No current evidence for applied tilt change.	Owner approval, risk/sizing review, and entry/invalidation proof required before any mutation.
Financials XLF	Concentration review proposal_for_review	Exposure already near cap; additions require explicit concentration review.	Owner approval, risk/sizing review, and entry/invalidation proof required before any mutation.
Health Care XLV	Research queue / candidate search proposal_for_review	Underexposed sector; do not force exposure without quality candidate and entry.	Owner approval, risk/sizing review, and entry/invalidation proof required before any mutation.
Industrials XLI	Maintain monitoring proposal_for_review	No current evidence for applied tilt change.	Owner approval, risk/sizing review, and entry/invalidation proof required before any mutation.
Materials XLB	Research-positive review proposal_for_review	Improving relative tape; still requires name-level proof.	Owner approval, risk/sizing review, and entry/invalidation proof required before any mutation.
Real Estate XLRE	Research queue / candidate search proposal_for_review	Underexposed sector; do not force exposure without quality candidate and entry.	Owner approval, risk/sizing review, and entry/invalidation proof required before any mutation.
Technology XLK	Hold / no broad overweight expansion proposal_for_review	Leadership is improving, but exposure or correlation already limits clean expansion.	Direct Technology is at cap at 25% vs 25% cap; AI-power correlated sleeve is 32% including ETN.
Utilities XLU	Research queue / candidate search proposal_for_review	Underexposed sector; do not force exposure without quality candidate and entry.	Owner approval, risk/sizing review, and entry/invalidation proof required before any mutation.

DEPLOYABLE NOW

1

ETN

ALMOST DEPLOYABLE

5

GOOG, GS, JPM, MSFT, NVDA

WATCH / RESEARCH

1

VRT

DO NOT TOUCH

3

BRK.B, LMT, XOM

Promotion-review split: pending candidates = CAT, GS, LLY, NVDA; approved/promoted names = ETN, JPM. Approved/promoted does not mean automated execution.

Name	State	Band posture	Next review trigger
ETN DEPLOYABLE NOW	DEPLOYABLE NOW	IN BAND	Owner-approved Tier 1 explicit add only inside the 395.59 to 420.31 band; do not chase above 420.31; manual execution only
GOOG ALMOST DEPLOYABLE	ALMOST DEPLOYABLE	9.7% above band top	Pullback into 330.01 to 349.37 with the post-print structure holding; no chase after the ~10% earnings gap
GS ALMOST DEPLOYABLE	ALMOST DEPLOYABLE	1.0% above band top	In band at 878.71 to 926.76, but only as a tactical add with disciplined size while JPM remains the primary bank setup
JPM ALMOST DEPLOYABLE	ALMOST DEPLOYABLE	1.5% below band low	Owner-approved Tier 1 setup only when price is in or reclaiming the approved 306.82 to 318.12 band, or after explicit band review; current below-band prints fail closed to almost-deployable
MSFT ALMOST DEPLOYABLE	ALMOST DEPLOYABLE	0.6% above band top	Pullback into 389.64 to 412.56 with support holding, or stronger repair that can reclaim the 200-day cleanly
NVDA ALMOST DEPLOYABLE	ALMOST DEPLOYABLE	2.1% above band top	Pullback into 186 to 191 only, not a chase above current levels
VRT WATCH / RESEARCH NEEDED	WATCH / RESEARCH NEEDED	0.5% above band top	Pullback into 295.49 to 326.63 with support holding; still secondary to ETN unless the setup improves further
BRK.B DO NOT TOUCH	DO NOT TOUCH	IN BAND	Only actionable on clear repair through 481 plus improving posture
LMT DO NOT TOUCH	DO NOT TOUCH	7.7% below band low	No trigger until after earnings and a fresh post-event base
XOM DO NOT TOUCH	DO NOT TOUCH	3.8% below band low	Only if price stabilizes above 141.97 and starts reclaiming the 50-day with supportive energy context

Downgrade / invalidation paths

- Credit spreads widen from benign levels.
- Breadth rolls from broad/recovering into narrow deterioration.
- Rates re-accelerate and pressure long-duration valuation.
- Energy/inflation pressure becomes sustained.
- Technology remains the only leadership while concentration blocks more exposure.

Upgrade conditions

- Manual-dependency trust improves without hiding caveats.
- Deployable-now list stays clean under strict surface, not weaker artifacts.
- Underexposed sectors produce high-quality candidates with clean entries.
- Pending promotion-review names get current thesis/technical/risk packets.

Next action	Why it matters	Boundary
Promotion-review packets: CAT, GS, LLY, NVDA	Converts sector-level signal into name-level judgment.	Review only; no automatic promotion or execution.
Keep approved/promoted names separate: ETN, JPM	Avoids mixing pending promotion candidates with owner-approved/promoted state.	Owner approval still does not equal automated trading authority.
Research underexposed sectors	Improves balance without forcing bad entries.	Candidate quality and entry proof required.
Productize renderer as weekly shell	Preserves reusable polished PDF path.	Presentation layer only; canonical notes remain truth layer.

Final read: Constructive but constrained. Use this PDF to guide review order, not to mutate portfolio state.

Source lineage: tmp/market-state.json; tmp/sector-expansion-board.json; tmp/deployment-readiness-surface.json; tmp/dashboard-validation.json. Generated by scripts/render_composite_regime_sector_pdf.py. Missing sources fail closed into visible warnings rather than hidden certainty.